

An Act

ENROLLED SENATE
BILL NO. 1319

By: Frix of the Senate

and

Sneed, Boles, and Bashore
of the House

An Act relating to Corporation Commission; requiring certain process be established for cities and counties to seek certain reimbursement; requiring city or county to begin certain process before requesting reimbursement; providing fair market value be determined by city or county; providing process for determining valuation; requiring application to request use of certain funds; prohibiting certain fee; authorizing Corporation Commission to hear application; requiring Commission make certain ruling on eligibility; prohibiting homeowner payments from certain fund; requiring Commission comply with certain requirements; requiring certain remediation and abatement using state plugging funds; requiring city or county sell property and return proceeds to certain fund; requiring homeowner act in good faith; requiring homeowner provide certain copies of claims; requiring certain proceeds be reimbursed to certain fund; requiring homeowner be held liable if acting in bad faith; requiring Attorney General bring action in certain cases; providing for referral to the Department of Environmental Quality; requiring certain reimbursement to Department of Environmental Quality; requiring the promulgation of certain rules by Commission; creating the Remediation Assistance Revolving Fund; establishing revolving fund characteristics; declaring the funds appropriated; providing for codification; and declaring an emergency.

SUBJECT: Remediation assistance for environmental emergencies

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 180.14 of Title 17, unless there is created a duplication in numbering, reads as follows:

A. 1. To alleviate new and ongoing serious environmental emergencies, a process shall be established to allow cities or counties to seek reimbursement after acquiring title at fair market value and removing a residential home that has become contaminated by a substance including or related to brine or oil. The city or county shall begin the process to acquire the residential home prior to requesting reimbursement.

2. Fair market value shall be determined by the city or county and shall reflect the property's condition prior to the environmental emergency. Such value shall be established as the greater of either the most recent valuation of the property by the county assessor or a comparative market analysis based on sales of similar properties occurring within the preceding three to six months.

B. 1. To request the use of funds from the Remediation Assistance Revolving Fund created in Section 2 of this act, the city or county shall file an application to be considered by the Corporation Commission. No fee shall be required to file the application. The Corporation Commission may hear the application with or without notice.

2. After considering the evidence presented, the Corporation Commission shall rule on the application and determine whether the city or county is eligible for reimbursement.

3. The Remediation Assistance Revolving Fund shall not be used to pay the homeowner for any damages.

4. Prior to any reimbursement from the Remediation Assistance Revolving Fund, the Corporation Commission shall comply with the requirements set forth in the Oklahoma Central Purchasing Act,

relating to emergency acquisitions, Section 85.41A of Title 74 of the Oklahoma Statutes.

5. Once the residence is removed, if the presence of a well is confirmed, the Corporation Commission shall remediate and abate the environmental emergency using state plugging funds. After the property is remediated, the city or county shall sell the property at fair market value, and return all proceeds, after expenses, to the Remediation Assistance Revolving Fund.

6. The homeowner shall in good faith pursue all available homeowner's insurance claims and damage claims and ensure that the Remediation Assistance Revolving Fund is listed as either the primary creditor or beneficiary, or both, for all payment of claims. The homeowner shall provide copies of these claims to the Corporation Commission upon request. All proceeds received by the homeowner not related to damaged personal property shall be reimbursed to the Remediation Assistance Revolving Fund.

C. The homeowner shall be held personally liable if the Remediation Assistance Revolving Fund is not reimbursed consistent with this act or if all available homeowner's insurance claims and damage claims are not pursued in good faith. The Attorney General shall bring an action in the district court in and for Oklahoma County, State of Oklahoma, to enforce compliance by the homeowner or to seek reimbursement to the Remediation Assistance Revolving Fund.

D. If, at any time, the environmental emergency is determined to not include or be related to brine or oil, or it is determined to be a naturally occurring breakout, the matter shall be referred to the Department of Environmental Quality. If costs of remediation and abatement are expended by the Department of Environmental Quality, such costs shall be reimbursed by the Remediation Assistance Revolving Fund if no other eligible funding sources are available.

E. The Corporation Commission shall promulgate rules to effectuate the provisions of this section.

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 180.15 of Title 17, unless there is created a duplication in numbering, reads as follows:

There is hereby created in the State Treasury a revolving fund for the Corporation Commission to be designated the "Remediation Assistance Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Corporation Commission from any public or private donations, contributions, and gifts received for the benefit of the fund and any amounts appropriated by the Legislature designated for deposit in the fund. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Corporation Commission or the Department of Environmental Quality for the purpose of providing remediation assistance as provided for in Section 1 of this act. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

SECTION 3. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the Senate the 14th day of May, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 5th day of May, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____